

EXPAND ENERGY CORPORATION (NASDAQ: EXE)

America's Largest Gas Producer, Still Priced Like Gas Stays Cheap Forever

Equity Research Note · Energy — Oil & Gas E&P (Natural Gas) · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$112	\$85.52 Oct 2, 2026	+31.0%	Medium-High Commodity leverage

Snapshot			
Market cap	~\$19.8 bn	Shares (diluted)	~231.5 mn
Enterprise value	~\$24.1 bn	52-week range	\$83.25 – \$126.62
Net debt (pro forma)	~\$4.3 bn	Dividend	\$2.30/yr (2.7% yield)
Production	~7.5 Bcfe/d (92% gas)	Proved reserves	25.9 Tcfe
Q2'26 adj. EBITDAX	\$1,183 mn (flat y/y)	Q2'26 realized gas	\$2.42/Mcf (\$2.90 w/ hedges)
Next catalyst	Q3'26 earnings, ~Oct 26	Analyst consensus	Moderate Buy, avg PT \$127.42

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Expand Energy's SEC filings and earnings releases, EIA data, and reputable financial press as of October 2, 2026. Projections and the price target are the author's estimates under a hardened 10-year scenario-DCF methodology.

1 Investment Thesis

Expand Energy is the largest independent U.S. natural gas producer (~7.5 Bcfe/d, 92% gas, 25.9 Tcfe proved), formed by the October 2024 Chesapeake–Southwestern merger. The stock sits near a 52-week low (\$85.52 vs. \$126.62 high) because Henry Hub has been pinned in a \$2–\$3.60 strip — at or below the company's stated breakeven economics. Our work says the market is pricing bear-case gas held flat forever: the current enterprise value capitalizes to roughly \$2.1B of perpetual free cash flow, equivalent to a sustained ~\$3.00 Henry Hub with zero terminal growth and no LNG uplift. Meanwhile the 2027 futures strip is already ~\$3.27 rising toward ~\$3.87, U.S. LNG exports just grew 23% year-on-year to 17.4 Bcf/d, and data-center power demand is set to add up to 20 Bcf/d of gas consumption by 2030. With 0.5x leverage, a \$600M synergy program, a transforming gas-marketing arm (Twin Eagle), and \$1.85B+ of annual shareholder returns, this is a call on gas normalization with a fortress balance sheet underneath.

The hardened rebuild **confirms the BUY but reprices it honestly**. Our 10-year scenario DCF — weights bear 25% / base 50% / bull 25%, discount rates 12.5% / 10.0% / 8.5%, terminal growth capped at 1.5% on a *depleting* shale resource — yields a probability-weighted fair value of **\$112, 31.4% above** the current price. Crucially, this rebuild's bear case (\$31.53, –63%) actually hurts — the prior note's bear (\$94.42) sat above the \$85.94 price, a mild-bear leak that priced zero downside. The target is the weighted DCF: \$112. The Street's \$127 average target requires the strip to be the *expected* case; we set ours at the weighted scenarios, deliberately below consensus.

Audit of the October 2 note (red-team lens)

The prior note said BUY with a \$115 target, dated October 2, 2026. Its commodity analysis was directionally right, but it had two load-bearing flaws the hardened methodology fixes. **First, the bear case did not hurt:** \$94.42 against an \$85.94 price — a 'bear' that implies +10% upside is an optimism leak, not a scenario. A real bear — gas stuck at ~\$2.90 flat for a decade on a depleting resource — is worth \$31.53, and that asymmetry belongs in the valuation. **Second, the \$115 target was a judgment departure**, set 'between' the peer-multiple read (\$107) and the weighted DCF (\$129); under v2 rules the target equals the weighted DCF unless a written, falsifiable justification departs from it, and 'between two lenses' is not one. The three strongest arguments against this note's own BUY: **(1)** 92% gas exposure is binary — a sustained \$0.50/Mcf move swings ~\$1B of annual EBITDA on a ~\$20B market cap, and the bear case is a genuine –63% drawdown; **(2)** realized basis kills the thesis before Henry Hub does — NE Appalachia realized just \$2.15/Mcf in Q2, and Marcellus differentials can persist even if the Hub recovers; **(3)** shale decline economics — 7.5 Bcfe/d of production needs ~\$2.9B/yr of capex just to stand still, so valuing the company on strip peaks instead of mid-cycle normalization is the classic E&P trap. The load-bearing assumption is that the futures strip (~\$3.27 → \$3.87) is approximately right and gas normalizes toward mid-cycle ~\$3.50; if the strip is wrong and \$2.90 is the new normal, this note's bear case is the base case.

Why it works (bull)

Largest low-cost gas inventory. Haynesville breakeven <\$2.75/Mcf; corporate well below \$3/Mcf — at the low end of the peer cost curve. Well productivity runs ~40% above basin averages; scale compounds drilling and completion efficiencies.

LNG export wave. 17.4 Bcf/d in 1H26 (+23%); Golden Pass Train 2 (late 2026), Port Arthur Phase 1, CP2, Rio Grande (2027–31). Expand's Haynesville acreage sits adjacent to Gulf Coast LNG demand.

Data-center/AI power demand. BloombergNEF: power-sector gas rises to 54 Bcf/d by 2035 (+18 vs 2025), with producers ~11 Bcf/d short of projected demand growth. Wood Mackenzie (Jul 2026): 'the decade of cheap Henry Hub gas is coming to an end.'

\$600M merger synergies by YE2026; marketing FCF target raised to \$750M/yr via Twin Eagle — ~\$0.20/Mcf of margin improvement (~\$500M of repeatable annual FCF) that does not depend on the gas price.

Fortress balance sheet. 0.5x leverage (0.8x pro forma), \$2.30 dividend + ~\$1.85B/yr buybacks; valuation at ~4x EV/EBITDA vs. peers at 5.5–6x.

What breaks it (bear)

92% gas exposure: leverage cuts both ways. A sustained \$0.50/Mcf move swings ~\$1B of annual EBITDA. Our bear DCF (\$31.53) is -63% below the price — that is the real downside, and it is not in the price.

Gas stays \$2–\$3: associated-gas supply, mild winters, storage overhang; hedges cap upside above collars. 2027 coverage is undisclosed — a key Q3 earnings watch item.

Marcellus basis: NE Appalachia realized only \$2.15/Mcf in Q2; differentials can persist even if Henry Hub recovers.

LNG project delays or a demand shortfall would strand the 2027–28 bull case.

Execution: interim CEO since early 2026; Twin Eagle integration and the \$150M synergy target by YE2028 are new.

2 Business Overview — What Expand Energy Does

Expand Energy was created in October 2024 when Chesapeake Energy acquired Southwestern Energy for ~\$7.4B, then rebranded — making it the largest independent U.S. natural gas producer at roughly 7.5 Bcfe/d, 92% natural gas, ahead of rival EQT. Headquarters: Oklahoma City. The footprint spans three basins (proved reserves 25.88 Tcfe at YE2025): **Haynesville** (23% of reserves, 3,187 MMcf/d, \$2.62/Mcf realized in Q2) — the LNG-adjacent growth engine, with 75,000+ net Western Haynesville acres and 200+ potential locations; **NE Appalachia** (42% of reserves, 2,625 MMcf/d, \$2.15/Mcf realized) — the low-cost, basis-constrained base; **SW Appalachia** (35% of reserves, 1,084 MMcf/d gas + 14 MBbl/d oil + 83 MBbl/d NGL, \$3.64/Mcfe blended) — the liquids kicker that lifts blended realizations.

There is a second, increasingly important 'product': gas marketing and logistics. The \$1.25B Twin Eagle acquisition (closed Q3 2026) added ~1,000 commercial customers and 44 Bcf of storage; management raised its marketing/commercial free-cash-flow target to \$750M per year and signed a 20-year, 1.15 Mtpa Delfin LNG supply agreement (targeted 2031). The strategy is to evolve from pure producer to integrated gas marketer — capturing volatility and basis spreads that pure producers leave on the table (~\$90M of volatility-capture value in Q1 2026 alone). That transformation is the most underappreciated part of the story.

Financial situation

Q2 2026 (reported July 28, 2026): revenue \$2.96B (-19.8% y/y on lower gas), adjusted EBITDAX \$1,183M (flat y/y despite the price drop — the synergy story working), adjusted EPS \$1.33 vs. \$1.12 consensus, operating cash flow \$1,096M, capex ~\$753M, free cash flow ~\$343M. Production hit 7.48 Bcfe/d. Realized gas was \$2.42/Mcf, or \$2.90/Mcf including derivative gains — the hedge book added ~\$0.48/Mcf that quarter. Balance sheet: total debt \$3.7B (down \$1.3B since YE2025), cash \$663M, net debt \$3.075B, leverage just 0.5x net debt/TTM EBITDAX — the cleanest balance sheet among large gas E&Ps; ~\$4.3B pro forma for Twin Eagle, still ~0.8x. 2026 guidance (reaffirmed): 7.4–7.6 Bcfe/d on \$2.75–\$2.95B capex. Shareholder returns: \$2.30/yr base dividend (2.7% yield), \$849M of buybacks year-to-date (~4% of shares) plus a fresh ~\$1B authorization — ~\$1.85B of 2026 capital-return run-rate. Hedging: floors on >60% of 2026 gas volumes.

3 Valuation — Hardened 10-Year DCF, Fair Value \$112

The prior note's 5-year DCF anchored its bear at \$94.42 — above the price — and set its \$115 target 'between' lenses. The hardened rebuild values Expand on a **10-year scenario free-cash-flow DCF** — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: **bear 12.5%** (base + 250bp), **base 10.0%** (standard tier: cyclical commodity E&P with 92% gas exposure), **bull 8.5%** (base – 150bp). Terminal growth is **1.0% / 1.5% / 0.0%** — capped well under 2.5% because shale wells decline and reserves deplete; no perpetual growth is assumed for a depleting resource. Inputs are independently justified: the FCF path is anchored to Q2'26 annualized FCF (\$1.37B at ~\$2.90 realized gas), the company's own \$/Mcf sensitivity (+\$0.50/Mcfe ≈ +\$1.37B

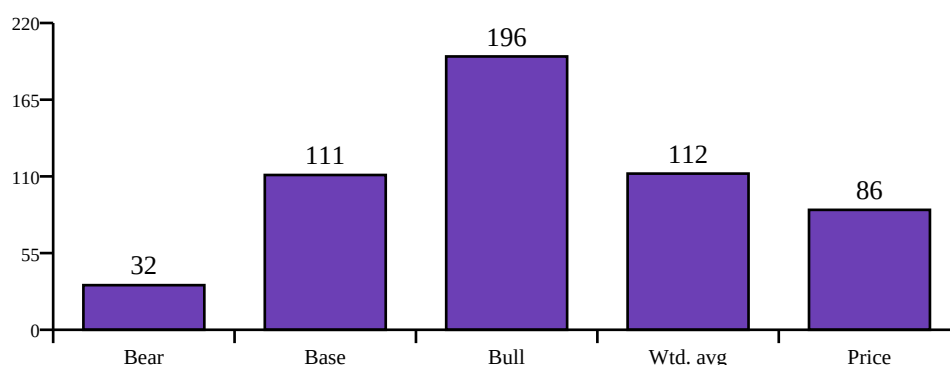
revenue), the 2027 futures strip (~\$3.27 rising toward ~\$3.87), and mid-cycle normalization — never strip peaks. Year-10 FCF is set at mid-cycle margins, not the bull-case peak.

Scenario DCF (10-year, \$B FCF):

Scenario	Henry Hub deck	2036 FCF	Discount / term. g	TV share of EV	Fair value
Bear: gas stuck ~\$2.90	\$2.90 flat	\$1.45	12.5% / 0.0%	31%	\$31.53
Base: strip → mid-cycle \$3.50	\$3.10 → \$3.50	\$2.90	10.0% / 1.0%	42%	\$111.16
Bull: LNG boom	\$3.50 → \$4.25	\$3.90	8.5% / 1.5%	50%	\$195.75
Probability-weighted (25/50/25) → \$112 target					\$112

The bear now hurts on every required axis: FCF is flat for a decade (CAGR 0% < 3%), the FCF level sits ~50% below the base path (far beyond the 300bp margin-compression test), and the 250bp derating (12.5% vs 10.0%) applies on top. Bear fair value \$31.53 is 63% below the price — that asymmetry is the honest price of 92% gas exposure, and it belongs in the valuation rather than being assumed away. No terminal-value haircut is needed: TV is 31–50% of EV across scenarios, well under the 70% guardrail.

Scenario fair values vs. current price (\$)



Reverse DCF: what is priced in?

At \$85.52, enterprise value is ~\$24.1B. Capitalized at the 10% base discount with 1.0% terminal growth, that is roughly \$2.1B of perpetual free cash flow — equivalent to a sustained ~\$3.00 Henry Hub with zero terminal growth and no LNG/data-center uplift. In other words, the stock is priced for bear-case gas, forever. Any move toward the futures strip re-rates it; the bear case is already in the price.

Sensitivity: fair value vs. sustained Henry Hub (perpetuity, 1.0% terminal growth)

Sustained Henry Hub	\$2.75	\$3.00	\$3.25	\$3.50	\$4.00
Fair value / share	\$34	\$63	\$92	\$121	\$179

Read this table as the whole debate: at \$3.00 gas the stock is roughly fairly valued-to-cheap near \$63; every sustained \$0.25 above that is worth ~\$29/share. Our \$112 target sits between the \$3.25 and \$3.50 columns — i.e., it requires gas to normalize toward mid-cycle, not to boom. The Street's \$127 sits at the \$3.50 line, demanding the strip as the expected case.

Price target: \$112. The target is the probability-weighted hardened DCF — $0.25 \times \$31.53 + 0.50 \times \$111.16 + 0.25 \times \$195.75$ — with no multiple overrule and no consensus anchoring. Implied upside +31.0%. What would falsify it: the 2027 futures strip collapsing back toward \$2.90 and staying there — in which case this note's bear case (\$31.53) becomes the base case — or sustained Marcellus basis blowouts that keep realized prices \$0.75+ below Henry Hub regardless of the strip.

4 Risks & Catalysts

Risks

Commodity leverage (the big one). 92% gas exposure means a sustained \$0.50/Mcf move swings ~\$1B of annual EBITDA on a ~\$20B market cap. Our bear DCF (\$31.53) is -63% below the price — a 2027 warm winter + storage overhang could test it.

Basis differentials. NE Appalachia realized just \$2.15/Mcf in Q2; Marcellus differentials (Range guided -\$0.35-\$0.40) can persist even if Henry Hub recovers.

Hedge drag. Floors protect 2026, but collars cap upside if gas spikes; 2027 coverage is undisclosed — watch the Q3 10-Q.

Execution. Interim CEO since early 2026; Twin Eagle integration and the \$150M synergy target by YE2028 are new.

Regulatory. Methane rules and LNG authorization politics are background risks; nothing EXE-specific outstanding.

Catalysts

Q3 2026 earnings (~Oct 26–27): consensus EPS ~\$1.35–1.41; watch the 2027 hedge book, Twin Eagle close update, and any 2027 capex signal.

LNG start-ups: Golden Pass Train 2 (late 2026), Port Arthur Phase 1, CP2, Rio Grande Trains 1–2 (2027) — each one tightens the physical market.

Winter 2026–27 storage/withdrawals: the single biggest near-term swing factor for gas and the stock.

Capital returns: continued buybacks (~4% of shares YTD) and the \$750M commercial FCF target de-risk the wait.

5 Recommendation

BUY, \$112 target (+31.0%). Expand Energy is the best house on a street the market has abandoned: the lowest-cost, largest-scale, least-levered major gas producer, trading at ~4x EV/EBITDA while the stock prices in \$3.00 gas flat forever. The investment case does not require heroic gas prices — it requires the futures strip (\$3.27 → \$3.87) to be approximately right, which the LNG export wave and data-center demand make the base case, not the bull case. The hardened 10-year DCF values the equity at \$112 (bear \$31.53 / base \$111.16 / bull \$195.75) against an \$85.52 quote. This rebuild is harsher than the prior note's: the bear case is a genuine -63% drawdown, and the target sits below the Street's \$127 because it refuses to treat the strip as the expected case.

Position sizing note: this is a commodity-levered BUY. Size it like one — a 2–4% position for most portfolios, larger only for investors who explicitly want gas-price torque. The \$2.30 dividend (2.7%) and the buyback pay you to wait; winter 2026–27 is the proving ground. Reassess if the 2027 strip collapses toward \$2.90 — in that world, this note's bear case is the base case and the BUY is wrong.

Disclosure: This note is independent research analysis for informational purposes only and is not personalized investment advice, a recommendation to transact, or an offer to buy or sell any security. Commodity producers carry substantial price risk; do your own due diligence. Valuation models are estimates with wide confidence bands — see the sensitivity table. Company data: Q2 2026 and FY2025 press releases, 2025 10-K. Market data: Henry Hub futures (late Sep 2026), EIA STEO/AEO 2026, BloombergNEF, Wood Mackenzie. Consensus: MarketBeat/Zacks, Sep 2026 (24 analysts, avg target \$127.42). The author holds no position in EXE.